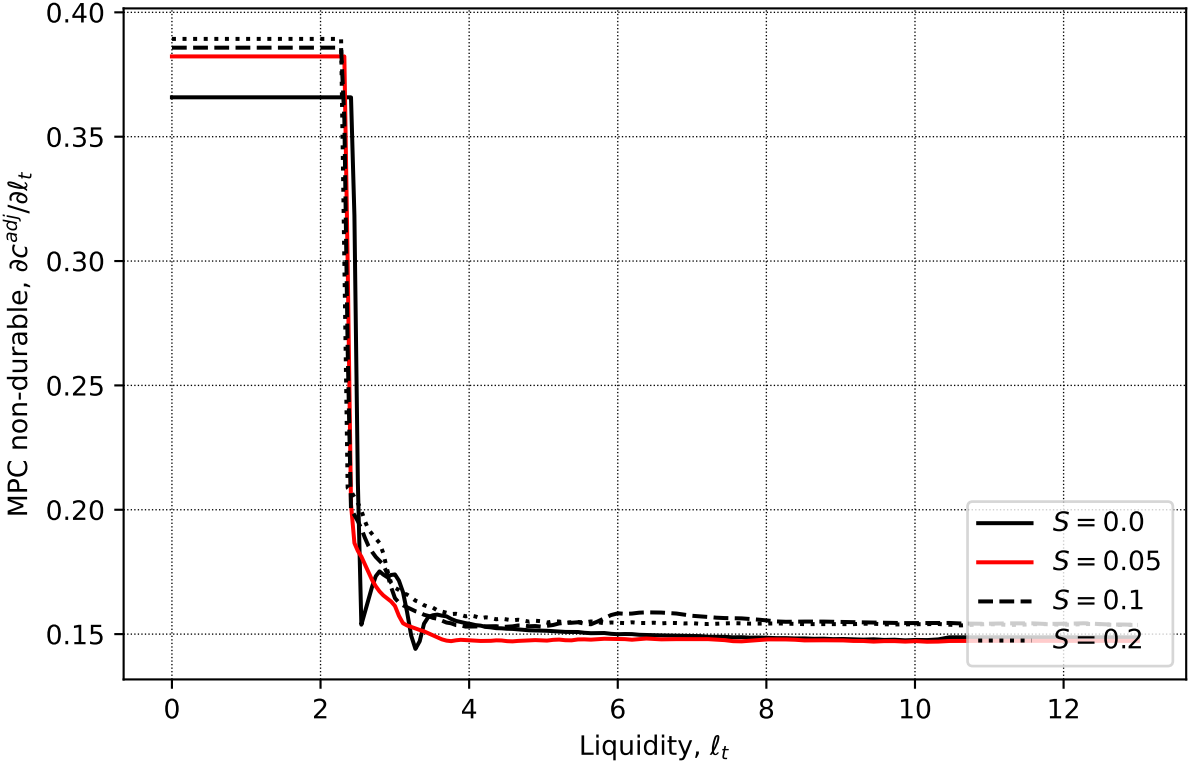
$\sigma_\varepsilon = 0, S \in \{0, 0.05, 0.1, 0.2\}, \sigma_p = 0$
MPC non-durable, $\partial c^{adj}/\partial \ell_t$
Liquidity, $\ell_t$
0.40
0.35
0.30
0.25
0.20
0.15
0
2
4
6
8
10
12
$S = 0.0$
$S = 0.05$
$S = 0.1$
$S = 0.2$